

INTEGRITY RECORDS

WHAT YOU NEED TO UNDERSTAND BEFORE SIGNING A MUSIC CONTRACT

*The Complete Guide
with real examples & worked scenarios*

“The simple believe anything, but the prudent give thought to their steps.”

PROVERBS 14:15

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This guide is offered for educational purposes and general encouragement. It is not legal advice; readers evaluating a specific contract should consult a qualified entertainment attorney.

Chris Johnson — Integrity Records

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SECTION ONE

Why This Guide Exists

“The simple believe anything, but the prudent give thought to their steps.”

PROVERBS 14:15

Every year, gifted artists sign away rights to their own music without fully understanding what they're agreeing to. Not because they're careless, but because record contracts are written in dense legal language designed to be skimmed, not studied. This guide exists to slow you down long enough to actually read the fine print, ask the right questions, and walk into any negotiation with your eyes open.

This isn't about distrust of every label or manager. Most are honest. But the artists who protect themselves best are the ones who understood their contracts before they signed them, not after.

How to Use This Guide

This complete edition goes further than a general overview. Each section below includes a worked example showing how these clauses actually play out in a real deal, so you can recognize the pattern the moment you see it in your own paperwork — not just understand the concept in theory. Read it once straight through, then keep it nearby as a reference the next time an offer lands in your inbox.

SECTION TWO

Master Rights vs. Publishing Rights

“Where there is no counsel, the people fall; but in the multitude of counselors there is safety.”

PROVERBS 11:14

These are two separate ownership streams, and contracts often blur them on purpose.

Master rights cover the actual recording — the specific audio file. Whoever owns the master controls how that recording is licensed, sold, and used forever. If a movie wants to use your song, they need a master license from whoever owns that master — often the label, not you.

Publishing rights cover the underlying composition — the melody and lyrics — separate from any one recording of it. This matters because someone else can record a cover of your song, and the publishing owner still gets paid on that version too, even if they never touch the master recording.

A contract can quietly ask for both in the same paragraph. Always know which one (or both) you're being asked to sign away, and for how long.

EXAMPLE

An artist signs a deal believing they're only giving up rights to the recording. Buried in the publishing section, however, is a clause assigning 50% of the song's publishing to the label's affiliated publishing arm — meaning the label now earns money any time the song is played on the radio, streamed, or synced to a TV show, on top of whatever the master deal already pays them. The artist didn't notice because the publishing clause was on a different page than the master rights clause.

Sync Licensing: Why This Distinction Pays Off

When a song lands in a commercial, film, or TV show, two separate licenses are usually required — one for the master, one for the publishing. If a label owns both, they collect both fees. If you retained your publishing, you'd collect half of that sync payment directly, even if the label owns the master.

SECTION THREE

Royalty Splits: What's Fair, What's Not

Royalty percentages vary widely, and there's no single 'correct' number — but there are norms worth knowing so you can recognize when an offer is far outside them.

- Major label, new artist: 12% – 20%
- Independent label: 20% – 50%
- Distribution deal (no label): 70% – 100%

These are general ranges, not guarantees — every deal is different. The point isn't to memorize numbers, but to notice when an offer sits far below industry norms without a clear reason why.

Gross vs. Net: The Number Behind the Number

A royalty percentage means very little on its own — what matters is what it's calculated from. A 20% royalty on gross revenue is very different from a 20% royalty on net revenue after the label deducts distribution fees, manufacturing costs, and 'breakage' allowances that may not even apply in a streaming-only world.

EXAMPLE

Two artists are each offered '20% royalties.' Artist A's contract calculates that 20% from gross streaming revenue. Artist B's contract calculates 20% from net revenue, after the label first deducts a 25% distribution fee and a 15% marketing recoupment fee off the top. On \$10,000 in streaming revenue, Artist A earns \$2,000. Artist B, on the same \$10,000, earns roughly \$1,200 — because the deductions happened before the percentage was applied. Same number on paper, very different outcome.

Always ask: 'Is this percentage calculated from gross receipts, or net receipts after deductions — and if net, which deductions specifically?'

SECTION FOUR

The Advance Trap

“Do not be one who shakes hands in pledge or puts up security for debts.”

PROVERBS 22:26

An advance can feel like a windfall, but it's a loan, not a gift. It's paid back out of your own future royalties before you see another dollar. A large advance with an unclear recoupment structure can leave an artist technically 'earning' for years while never actually being paid.

Before accepting an advance, ask exactly what expenses it will be recouped against, and get that answer in writing.

EXAMPLE

An artist accepts a \$50,000 advance, excited to fund their next project. The contract states the advance will be recouped from the artist's royalty share going forward. At a royalty rate of 15% on an album generating \$200,000 in gross revenue, the artist's share before recoupment would be \$30,000. Since \$50,000 hasn't yet been earned back, the artist receives \$0 in additional payment — and still owes \$20,000 in unrecouped balance against future releases. The 'windfall' becomes a multi-year debt against future work.

Why Bigger Isn't Always Better

A smaller advance with a clean, transparent recoupment structure is often a better deal than a large advance buried in vague language. Before signing, ask for a simple, plain-English breakdown — ideally in writing — of exactly how the advance gets paid back.

SECTION FIVE

Recoupment: The Fine Print That Follows You

Recoupment clauses determine which costs come out of your earnings before you're paid anything. Watch for contracts that quietly fold in expenses beyond the advance itself:

- Marketing and promotion costs charged against your royalties
- Music video production charged as a recoupable expense
- Tour support that must be paid back from your own share
- Cross-collateralization — where earnings from one project are used to cover losses on another

None of these are automatically dishonest, but each one should be spelled out clearly, not buried in a cross-reference to another section.

Cross-Collateralization in Practice

EXAMPLE

An artist releases two albums under the same label. Album 1 underperforms and leaves \$40,000 unrecovered. Album 2 is a modest success, earning the artist \$25,000 in royalties before recoupment. Because the contract cross-collateralizes both projects, that \$25,000 first goes toward paying down Album 1's \$40,000 deficit — leaving the artist with \$0 from a project that, viewed on its own, actually succeeded.

Ask directly whether each release is accounted separately, or whether all projects are cross-collateralized into a single running balance. This single clause can be the difference between getting paid for your wins or watching them disappear into an old loss.

SECTION SIX

Term Length and Option Periods

Many contracts run for an initial period (often one album cycle) with the label holding 'options' to extend for several more albums — options the label can exercise, but you generally cannot decline without breaching the deal. Know exactly how many albums you could be committed to before you sign a single page.

EXAMPLE

A standard deal structure might read: 'Initial period: one album. Label holds four (4) separate options to extend, each for one additional album.' On paper this looks like a one-album deal — but it's actually a potential five-album commitment, entirely at the label's discretion, not the artist's. If the first album succeeds, the label exercises every option. If it underperforms, they can walk away after one release, while the artist remains bound to wait out option windows before pursuing other opportunities.

What to Negotiate

Where possible, negotiate a shorter initial commitment, a cap on the total number of options, and a defined timeline for when the label must exercise (or forfeit) each option — so you're not left in limbo indefinitely.

SECTION SEVEN

Exclusivity Clauses

Exclusivity language can restrict who you're allowed to record or perform with, sometimes extending to side projects, features, or even your own future solo work under a different name. Read exclusivity clauses as though they apply to everything you might want to create in the next five years, not just the project in front of you.

EXAMPLE

A broad exclusivity clause might state the artist cannot 'render recording services for any other person or entity' during the term. Read literally, this can prevent the artist from appearing as a featured vocalist on a friend's track, contributing to a compilation album, or releasing music under an alias — all without the label's written consent.

Carve-Outs Worth Requesting

Ask for specific carve-outs: permission for guest features (with reasonable notice to the label), side projects in a different genre, or non-recording work like songwriting for other artists. A reasonable label will often agree to these in writing if you simply ask before signing.

SECTION EIGHT

Termination and Exit Clauses

Ask what happens if the relationship doesn't work out — for either side. A contract with no clear exit path, or one where only the label can terminate, is a sign to slow down and negotiate further before signing.

Reversion Rights

A reversion clause determines whether ownership of your masters ever returns to you — for example, after a set number of years, or once the label recoups its costs. Without this clause, a master rights transfer can be effectively permanent, regardless of how the working relationship ends.

EXAMPLE

Two contracts both transfer master ownership to the label. Contract A includes a reversion clause: masters revert to the artist 15 years after release. Contract B has no reversion language at all. Fifteen years later, the Contract A artist regains full control and can re-license, re-release, or sell their own catalog. The Contract B artist owns nothing from that chapter of their career, regardless of how much time has passed.

Always ask specifically: 'Under what conditions, if any, do master rights revert to me?' If the answer is 'never,' treat that as a major point of negotiation, not a formality.

SECTION NINE

Ten Questions to Ask Before You Sign

1. Who owns the masters, and under what conditions (if any) do they revert to me?
2. Is my publishing being requested in this same deal, separately from the masters?
3. Is my royalty percentage calculated from gross or net revenue — and net of what, specifically?
4. What expenses are recoupable against my advance or royalties, in plain language?
5. Are my projects cross-collateralized with each other, or accounted separately?
6. How many total albums/releases could I be committed to, including all label options?
7. What am I restricted from doing creatively outside this deal — features, side projects, solo work under another name?
8. What happens if either side wants to end this relationship early?
9. Has an entertainment attorney (not just a friend or manager) reviewed this contract?
10. Am I being given adequate time to review this, or am I being pressured to sign quickly?

SECTION TEN

Glossary of Contract Terms

Advance

A sum paid to the artist upfront, recouped later from the artist's own royalties. Functions as a loan, not a bonus.

Cross-Collateralization

A clause allowing losses on one project to be offset against earnings on another, potentially delaying or eliminating payment on a successful release.

Master Rights

Ownership of the actual sound recording, separate from the composition itself.

Publishing Rights

Ownership of the underlying composition — melody and lyrics — independent of any specific recording.

Recoupment

The process by which a label deducts specific costs (advances, marketing, video production, etc.) from an artist's earnings before paying royalties.

Reversion Clause

A provision determining whether and when ownership of masters or rights returns to the artist.

Option Period

A right (usually held by the label) to extend the contract for additional releases, exercised at the label's discretion.

Exclusivity Clause

Language restricting who an artist may record, perform, or release music with during the contract term.

Sync License

A license required to use a song in film, TV, advertising, or other visual media — often requiring separate master and publishing licenses.

SECTION ELEVEN

Red Flags Checklist

- I understand exactly what's recoupable and what isn't.
- I know how many albums/years I could be bound to, including options.
- I've had an entertainment attorney review this, not just a friend or family member.
- The royalty percentage was explained to me in plain numbers, not just percentages, and I know whether it's gross or net.
- I've confirmed there's a clear exit or reversion clause.
- I know whether my projects are cross-collateralized with one another.
- I haven't been pressured into signing faster than I'm comfortable with.
- I've prayed over this decision, not just negotiated it.

SECTION TWELVE

A Closing Word

“Commit to the Lord whatever you do, and He will establish your plans.” — Proverbs 16:3

Your gift was never meant to be exploited. It was given to you for a purpose, and stewarding it well means protecting it — not out of fear, but out of wisdom. Take your time. Ask hard questions. Bring in trusted counsel. And walk into every opportunity, whether you sign it or walk away from it, with your integrity intact.

Integrity Records was founded to give Christian artists a place where honesty comes before profit, and where every artist is treated the way we'd want to be treated ourselves. Thank you for trusting us with a part of your journey.

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